

Why Property Taxes?

Property taxes pay for services like firefighters, police officers, and roadways-they basically pay for everything to keep a town running. Assessed values, which are used to determine property tax rates, are also used to calculate state aid for education, which is a huge source of revenue for schools.

Question

Why can't some of the burden be shoved off onto sales and income taxes?

Answer

Property taxes have specific characteristics that made them more reliable taxation targets.

The value of the underlying property, like the stock market, remains relatively steady. People tend to pay their property taxes because they don't want to lose their homes, so compliance is high. Also, property taxes are hard to conceal, unlike other sources of income.

There's also the historical relationship between wealth and property-traditionally, those with money hold land, and because land is productive, the government participates in that productivity. It's not just homeowners who pay taxes-businesses, farmers, and utility companies all pay property taxes, too. Property taxes are ad valorem taxes-meaning they're based on a property's assessed value-that are calculated according to the value of the property as of the date the purchase was made final, or as of the date new construction was finalized.